



## Opportunities Offered By PLI Scheme For Air-conditioners And LED Lights

In April, the Department for Promotion of Industry and Internal Trade (DPIIT) notified the PLI scheme for white goods (air-conditioners and LED lights) to be implemented over five years with a budgetary outlay of 62,380 million rupees. What are the opportunities hidden in this news for components manufacturing? Let us find out

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**U**nlike other PLI schemes, the PLI scheme for air-conditioners (ACs) has made a clear distinction between the components that can be manufactured and covered under it. Aluminium foils, copper tubes, and compressors have been termed as high-value intermediates, while PCB assemblies for controllers, BLDC motors, service valves for ACs, and cross-flow fans have been jostled under lower-value intermediates.

Experts believe that this is the right mix of materials that are not only essential for the manufacture of ACs but are also the biggest contributor to imports in this sector.

The inclusion of these components under the PLI scheme gives manufacturers a chance like never before to produce these components, and not just serve the Indian market but also contribute to exports and grow on a global scale.

"I have been in the electronics industry for two decades now. However, I cannot think of a more exciting period than the present times. It would not be out of place to say that the next few years can be a golden period for the electronics industry, just like how the past decade was for the IT industry," says Anurag Dhoot, MD, Epitome Components.

### Air-conditioners: Cool opportunities

The biggest contributor to the bill of materials (BoM) for manufacture of ACs is compressors, forming almost 25-28 percent of the same and making it one of the lowest hanging fruits for any component manufacturer. Another key AC component is aluminium, which saw heavy imports despite being generously produced in the country by leading companies like Hindalco.

"Almost 65 percent of the AC industry has shifted to inverter ACs. If you look at the BoM of an inverter AC, the main component

